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Solution

In the books of Raja Furniture

Purchases Book / Purchases Journal

Date	Particulars	Invoice No.	L.F.	Amount `	
				Details	Total
2017					
May 4	**Kasi Furnitures, Kanyakumari**				
	10 chairs @ ` 300 each			3,000	
	4 tables @ ` 800 each			3,200	6,200
May 10	**Murugan Furniture Mart, Nagapattinam**				
	10 chairs @ ` 250 each			2,500	
	5 tables @ ` 750 each			3,750	
				6,250	
	Add: Delivery and packing charges			150	6,400
May 25	**Gowtham & Co., Chennai**				
	10 chairs @ ` 550 each			5,500	
	15 steel cabinets @ ` 2,000 each			30,000	
				35,500	
	Less: Trade discount @ 10%			3,550	
				31,950	
	Add: Delivery charges			200	32,150
	Purchases A/c Dr.				**44,750**

Note:

(a) Purchases on 6th May, 2017 will not be recorded in the purchases book, because it is cash purchases.

(b) Purchases of computers on 20th May, 2017 will not be recorded in the purchases book, because computer is an asset for the firm dealing in furniture and it is for office use.

6.5.3 Posting from purchases book

After the transactions are recorded in the purchases book, posting them to ledger involves two steps:

Step 1: **Posting to personal accounts of creditors:** Every day, each entry is posted to the credit side of the respective personal account of the creditor by entering the words 'By Purchases account'.

Step 2: **Posting to purchases account:** Generally, at the end of the month, the purchases book is totalled. The monthly total of purchases is posted to the debit side of purchases account by writing the words 'To Sundry creditors A/c'.